

Richard Shannon, CFA
richard.shannon@craig-hallum.com
612-334-6339

Tyler Anderson
tyler.anderson@craig-hallum.com
612-334-6326

Company Update

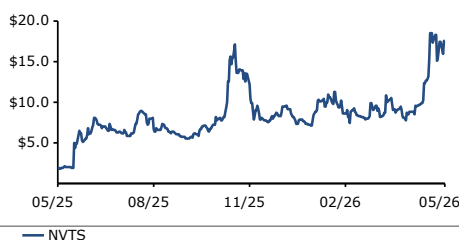
Profile

Price	\$17.55
Rating	Hold
Price Target	\$13.00 (from: \$10.00)
52 Week Range	\$1.88 - \$18.51
Avg. Daily Vol (M)	27.240
Shares Out (M)	230.0
Market Cap (M)	\$4,036
Enterprise Value (\$M)	\$3,811
Net Cash (M)	\$225
Insiders Own	10%
Shares Short / Days to Cover	48.6M / 3
Book Val./Sh.	\$1.84
Fiscal Year Ends:	December

Estimates

		2025A	2026E	2027E
Revenue (\$M)	Q1	14.0	8.6A	13.2
	Q2	14.5	9.9	15.9
	Q3	10.1	10.9	18.2
	Q4	7.3	12.0	21.0
	FY	45.9	41.5	68.3
	Prior	-	38.3	63.9
EV/Revenue		83.0x	91.9x	55.8x
EPS	Q1	(0.06)	(0.04)A	(0.04)
	Q2	(0.05)	(0.05)	(0.04)
	Q3	(0.05)	(0.05)	(0.04)
	Q4	(0.05)	(0.05)	(0.03)
	FY	(0.21)	(0.18)	(0.16)
	Prior	-	(0.19)	(0.14)
P/E		NM	NM	NM

Performance Chart



Information Technology: Semiconductors & Semiconductor

Navitas Semiconductor Corporation (NVTs)

Improving Outlook & Execution, Just Need Valuation Below 59x EV/S. Maintain HOLD Rating, Raising Price Target To \$13.

OUR CALL

We believe NVTs' new leadership has placed the company on the proper path targeting high power applications, both from a TAM size and better pricing/margin perspective. NVTs' solid beat and raise reported last night is an indication of what we expect. However, this stock gets taken for a ride, seemingly from retail investors that care little about stock valuations; it happened in the few weeks before 1Q26 earnings. Even after increasing our forecasts, NVTs trades at 59x EV/S (not earnings, but sales), which is far above any other AI-related stock we see in our universe. Since this run-up happened leading up to 3Q25 results, we are hoping to find a better entry point. As such, we maintain our Hold rating while increasing our price target modestly to \$13.

Management of NVTs will be meeting with investors at the Craig-Hallum Institutional Investor Conference on May 28, 2026.

INVESTMENT HIGHLIGHTS

Thoughts on results/guidance: NVTs reported a slight beat on the top and bottom line (\$8.6M/-\$.04 vs \$8.2M/-\$.05), driven by success across its high power markets, with GMs and opex squarely in line with our estimates. NVTs' 2Q sales guide of \$10M is nicely higher than consensus of \$9M.

End market growth: All end markets, HSDC/HSDC infra, grid, industrial, and performance computing grew in the qtr, though HSDC/HSDC infra grew at a significantly faster pace. We expect this trend to continue throughout C26/C27.

DC samples being tested: NVTs is currently sampling multiple products for 800V AI racks and associated infrastructure (grid-related). We expect customer decisions on 800V related to AI to be made soon and ramp in 4Q26/1Q27, with AI rack (i.e DC-DC converters) decisions to be made in 1H27. However, while AI racks provide a larger near-term opportunity, we appreciate the fact that the transformer (AI infra) upgrade cycle is long and the design-ins are sticky.

Transformers the long-term focus in grid/AI infrastructure: As of the past few months, we have seen a considerable amount of people raise the issue of transformers. This multifaceted issue surrounds short supply, long lead times, and higher prices. While this could be in part due to datacenters blowing them up, accelerating the replacement cycle, datacenters are increasing the number of transformers required as a whole. We think these issues could be driving customers to accelerate the adoption of solid state transformers, which should consume plenty of SiC content, more broadly.

Please see analyst certification and important disclosures on page 7 of this report.

Mobile small, and getting smaller: NVTs stated that its Mobile/consumer business is now <20% of sales, and should be de minimis exiting this year. As a consequence, NVTs' "high power" solutions are a clear majority of sales.

GM and opex outlook: GMs are expected to sequentially improve throughout C26, although we could see opex moving up slightly to address an increasing pipeline of opportunities.

Breakeven model: With the slightly higher opex outlook, we see breakeven occurring in the high \$30M's to low \$40M's revenue per qtr. Our modeling suggests it will achieve it will GMs in the 42-44% range, with opex in the \$16M range. Our prospective model has this occurring in late C28.

Valuation remains elevated: We downgraded the stock two quarters ago based on the stock running strongly after the NVDA 800V DC partnership announcement in May-25. We were just starting to get comfortable with the stock below \$10, given the improving opportunity for AI infrastructure. However, the stock had run nearly 100% over the past month. At the \$17.55 closing price with our new estimates, the stock trades at 59x C27 EV/S, which is many times what any other AI-focused stock trades at.

Ticker	Price	Mkt Cap	EPS 2026	EPS 2027	Sales 2026	Sales 2027	PE 2026	PE 2027	EV/EPS 2026	EV/EPS 2027	PS 2026	EV/S 2026	EV/S 2027	Cash/Sh	Sales Growth 2026	Sales Growth 2027
TXN	\$ 281.00	\$255,736	\$ 7.55	\$ 8.83	\$ 20,846	\$ 23,143	37	32	38	33	12.3	12.7	11.4	\$ (9.83)	18%	11%
ADI	\$ 404.77	\$197,610	\$ 11.42	\$ 13.13	\$ 14,013	\$ 15,382	35	31	35	30	14.1	13.8	12.6	\$ 8.29	27%	10%
WOLF	\$ 36.63	\$1,652	\$ (13.08)	\$ (8.20)	\$ 672	\$ 714					2.5	3.6	3.4	\$ (17.16)	-11%	6%
MPWR	\$ 1,588.12	\$78,005	\$ 23.81	\$ 30.00	\$ 3,673	\$ 4,505	67	53	66	52	21.2	20.9	17.0	\$ 27.83	32%	23%
STM	\$ 57.18	\$52,107	\$ 1.19	\$ 2.27	\$ 13,993	\$ 16,072	48	25	46	24	3.7	3.6	3.1	\$ 2.20	19%	15%
POWI	\$ 77.08	\$4,294	\$ 1.25	\$ 1.73	\$ 470	\$ 543	62	45	58	42	9.1	8.7	7.5	\$ 4.14	6%	16%
ON	\$ 102.67	\$40,383	\$ 3.06	\$ 4.23	\$ 6,454	\$ 7,152	34	24	34	25	6.3	6.4	5.8	\$ (2.13)	8%	11%
Total/Ave																
NVDA	\$ 196.50	\$4,774,950	\$ 8.28	\$ 11.13	\$ 367,499	\$ 484,592	24	18	23	17	13.0	12.9	9.7	\$ 2.10	70%	32%
AMD	\$ 355.26	\$579,194	\$ 6.99	\$ 11.68	\$ 47,837	\$ 70,457	51	30	50	30	12.1	12.0	8.1	\$ 4.13	38%	47%
AVGO	\$ 427.36	\$2,023,408	\$ 11.32	\$ 17.99	\$ 103,639	\$ 161,136	38	24	39	24	19.5	20.0	12.9	\$ (10.96)	62%	55%
MRVL	\$ 168.75	\$147,565	\$ 3.84	\$ 5.46	\$ 10,872	\$ 14,884	44	31	45	31	13.6	13.8	10.1	\$ (2.74)	33%	37%
ALAB	\$ 15.69	\$2,671	\$ 2.65	\$ 3.76	\$ 1,419	\$ 1,974	6	4	3	2	1.9	1.1	0.8	\$ 6.80	66%	39%
CRDO	\$ 193.57	\$35,704	\$ 5.16	\$ 6.81	\$ 2,220	\$ 2,998	37	28	36	27	16.1	15.5	11.5	\$ 6.97	67%	35%
Total/Ave																
NVTs	\$ 17.55	\$ 4,036	\$ (0.18)	\$ (0.14)	\$ 38	\$ 66					100.2	57.7		\$ 1.02	-17%	74%

Source: Craig-Hallum, FactSet

Stock Opportunity for NVTs

Our \$10 price target is based on a ~40.5x EV/S multiple applied to our C27 sales estimate of ~\$68.3M plus \$0.98 cash per share.

ESTIMATE CHANGES

	CH Old	Mar-26 NVTs Act	Cons Est	CH Old	Jun-26 CH New	Cons Est	CH Old	2026E CH New	Cons Est	CH Old	2027E CH New	Cons Est
Revenues	8.2	8.6	8.2	9.1	9.9	9.0	38.3	41.5	37.9	63.9	68.3	65.9
<i>Gross margins</i>	39.0 %	39.0 %	38.4 %	39.3 %	39.3 %	38.5 %	39.4 %	39.4 %	39.0 %	41.1 %	41.1 %	43.2 %
<i>Opex</i>	15.0	15.0	15.0	15.0	15.3		60.1	61.9		61.4	65.5	
<i>EBIT margin</i>	(143)%	(136)%		(126)%	(115)%		(118)%	(110)%		(55)%	(55)%	
EPS, PF	(\$0.05)	(\$0.04)	(\$0.05)	(\$0.05)	(\$0.05)	(\$0.05)	(\$0.19)	(\$0.18)	(\$0.18)	(\$0.14)	(\$0.16)	(\$0.14)

Risks for NVTs

We believe an investment in Navitas involves the following risks:

Competition: Navitas is competing in the broader power semiconductor market, where there are much larger companies with vastly greater resources.

Complex materials systems: Navitas' manufacturing is based on complex materials systems that are new to the semiconductor market, and thus have risks inherent in its immaturity.

Limited sources of production: Navitas relies on TSMC to satisfy their GaN fab-wafer requirements. Any disruption to the facility would severely hinder supply.

History of losses: Navitas has yet to make a profit on a quarterly or annual basis, and thus may need to raise additional capital, including equity, in the future, which would dilute current shareholders.

Changing technologies: The semiconductor industry is characterized by rapidly changing technologies and industry standards, along with frequent new product introductions. Navitas' financial performance depends on its ability to develop, manufacture, and market new products and enhancements on a timely and cost-effective basis.

Capital requirements: NVTs has never reported a profit, and likely won't for the foreseeable future. If NVTs has to raise capital, the resulting dilution could drive declines in the stock.

Navitas Semiconductor (NVTS)

Income Statement (Pro Forma)

FY ends 12/31

(\$ in millions, except per share data)

	2024	FY2025				2025	FY2026				2026	FY2027				2027
		Mar-25 1QA	Jun-25 2QA	Sep-25 3QA	Dec-25 4QA		Mar-26 1QA	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE		Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	
Revenue	83.3	14.0	14.5	10.1	7.3	45.9	8.6	9.9	10.9	12.0	41.5	13.2	15.9	18.2	21.0	68.3
Cost of Revenue	49.6	8.7	8.9	6.2	4.5	28.3	5.2	6.0	6.6	7.2	25.1	7.9	9.4	10.7	12.2	40.2
Gross Profit	33.7	5.3	5.6	3.9	2.8	17.7	3.4	3.9	4.3	4.8	16.3	5.3	6.4	7.5	8.8	28.1
R&D	48.8	8.8	9.2	8.3	8.1	34.4	9.4	9.6	9.9	9.9	38.8	10.0	10.2	10.3	10.4	40.9
SG&A	35.4	8.3	6.9	7.2	6.8	29.2	5.7	5.7	5.8	6.0	23.2	6.0	6.1	6.2	6.3	24.6
Other Opex	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Opex	84.2	17.2	16.1	15.4	14.9	63.6	15.0	15.3	15.7	15.9	61.9	16.0	16.3	16.5	16.7	65.5
Operating Income	(50.6)	(11.8)	(10.6)	(11.5)	(12.1)	(46.0)	(11.7)	(11.4)	(11.4)	(11.1)	(45.6)	(10.7)	(9.9)	(9.0)	(7.9)	(37.4)
Interest income/(expense)	5.1	(0.0)	0.1	0.4	0.4	0.9	0.3	0.4	0.4	0.4	1.5	0.3	0.3	0.3	0.3	1.2
Other income/(loss)	0.0	0.8	0.6	1.3	1.2	3.9	1.6	-	-	-	1.6	-	-	-	-	-
Income Before Taxes	(45.5)	(11.1)	(9.8)	(9.9)	(10.5)	(41.2)	(9.8)	(11.0)	(11.0)	(10.7)	(42.5)	(10.4)	(9.6)	(8.7)	(7.6)	(36.2)
Taxes (Benefit)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income	(41.0)	(11.4)	(10.0)	(10.2)	(10.5)	(42.1)	(9.8)	(11.0)	(11.0)	(10.7)	(42.5)	(10.4)	(9.6)	(8.7)	(7.6)	(36.2)
EPS Diluted	(0.22)	(0.06)	(0.05)	(0.05)	(0.05)	(0.21)	(0.04)	(0.05)	(0.05)	(0.05)	(0.18)	(0.04)	(0.04)	(0.04)	(0.03)	(0.16)
Diluted Shares	187.2	187.8	199.0	212.7	222.3	222.3	230.0	230.7	231.4	232.1	232.1	232.5	233.0	233.5	233.9	233.9
Margin Analysis (Pro Forma)																
Gross margins	40.4 %	38.1 %	38.5 %	38.7 %	38.7 %	38.4 %	39.0 %	39.3 %	39.5 %	39.8 %	39.4 %	40.0 %	40.5 %	41.3 %	42.0 %	41.1 %
R&D	58.6 %	63.0 %	63.7 %	82.0 %	110.6 %	75.0 %	108.8 %	96.7 %	90.6 %	82.4 %	93.5 %	75.7 %	64.3 %	56.5 %	49.6 %	59.9 %
SG&A	42.5 %	59.5 %	47.7 %	70.7 %	93.3 %	63.6 %	65.8 %	57.4 %	53.1 %	49.9 %	55.8 %	45.4 %	38.5 %	34.0 %	30.0 %	36.0 %
Opex ratio	101.1 %	122.4 %	111.4 %	152.7 %	203.9 %	138.6 %	174.6 %	154.1 %	143.7 %	132.3 %	149.3 %	121.0 %	102.8 %	90.5 %	79.6 %	95.9 %
Operating margin	(60.7)%	(84.3)%	(72.9)%	(114.0)%	(165.2)%	(100.1)%	(135.6)%	(114.8)%	(104.2)%	(92.5)%	(109.9)%	(81.0)%	(62.3)%	(49.2)%	(37.6)%	(54.8)%
EBT margin	(54.6)%	(79.0)%	(67.6)%	(97.5)%	(143.2)%	(89.7)%	(113.6)%	(110.8)%	(100.6)%	(89.2)%	(102.4)%	(78.8)%	(60.4)%	(47.5)%	(36.2)%	(53.1)%
Net margin	(49.3)%	(81.6)%	(69.2)%	(100.7)%	(143.2)%	(91.7)%	(113.6)%	(110.8)%	(100.6)%	(89.2)%	(102.4)%	(78.8)%	(60.4)%	(47.5)%	(36.2)%	(53.1)%
Growth, Q/Q																
Revenue		(22.0)%	(82.6)%	(27.9)%	(49.6)%		17.8 %	(78.4)%	27.1 %	21.0 %		10.0 %	(61.8)%	38.0 %	32.3 %	
EPS		57.4 %	(77.5)%	(21.4)%	(6.7)%		(9.7)%	(76.9)%	11.8 %	(3.2)%		(3.0)%	(77.6)%	(17.1)%	(21.1)%	
Growth, Y/Y																
Revenue	16.5 %	(31.3)%	(26.4)%	(28.3)%	(32.1)%	(29.5)%	5.9 %	4.0 %	19.4 %	22.7 %	12.6 %	6.9 %	6.3 %	4.0 %	5.1 %	5.5 %
EPS	7.3 %	7.2 %	(23.4)%	(23.3)%	21.4 %	(7.9)%	(30.3)%	(5.3)%	(0.8)%	(1.7)%	(10.8)%	5.5 %	(13.8)%	(21.8)%	(29.7)%	(15.4)%

Source: Craig-Hallum

Navitas Semiconductor (NVTS)

Balance Sheet FY ends 12/31 (\$ in millions, except per share data)	2024	Mar-25 1QA	Jun-25 2QA	Sep-25 3QA	Dec-25 4QA	2025	Mar-26 1QA	Jun-26 2QE	Sep-26 3QE	Dec-26 4QE	2026	Mar-27 1QE	Jun-27 2QE	Sep-27 3QE	Dec-27 4QE	2027
ASSETS																
Cash and short-term investments	86.7	75.1	161.2	150.6	238.6	238.6	225.0	196.5	185.8	175.0	175.0	163.7	152.2	142.1	132.2	132.2
Account receivables, net	14.0	12.4	12.5	9.8	3.6	3.6	3.7	8.3	9.1	10.0	10.0	11.0	13.2	15.2	17.5	17.5
Inventories	15.5	16.1	15.1	14.7	13.3	13.3	14.9	16.1	15.6	15.2	15.2	15.9	17.2	17.8	19.5	19.5
Other current assets	4.1	4.7	4.1	3.8	4.4	4.4	4.2	4.2	4.2	4.2	4.2	4.2	4.2	4.2	4.2	4.2
Total current assets	120.3	108.3	192.9	178.8	259.9	259.9	247.9	225.1	214.6	204.5	204.5	194.8	186.8	179.4	173.4	173.4
Net PPE	15.4	14.7	14.5	14.4	9.8	9.8	9.1	9.3	9.5	9.7	9.7	9.9	10.1	10.3	10.5	10.5
Intangibles	72.2	67.5	62.7	58.0	53.5	53.5	48.5	45.2	41.7	38.2	38.2	36.8	35.5	34.1	32.8	32.8
Goodwill	163.2	163.2	163.2	163.2	163.2	163.2	163.2	159.7	156.2	152.7	152.7	151.4	150.0	148.7	147.3	147.3
Other assets, net	17.4	16.7	16.0	15.1	19.0	19.0	14.3	14.3	14.3	14.3	14.3	14.3	14.3	14.3	14.3	14.3
Total assets	390.0	370.8	449.4	430.2	507.2	507.2	485.4	455.9	438.7	421.8	421.8	409.5	399.0	389.2	380.6	380.6
LIABILITIES																
Account payable	10.8	14.3	16.9	14.1	22.4	22.4	18.4	6.7	7.3	8.0	8.0	8.8	10.5	11.9	13.5	13.5
Accrued compensation	8.6	3.3	4.4	6.3	4.9	4.9	5.6	5.6	5.6	5.6	5.6	5.6	5.6	5.6	5.6	5.6
Short term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other liabilities	1.8	1.8	2.1	2.1	2.2	2.2	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3
Total current liabilities	21.1	19.3	23.4	22.5	52.1	52.1	56.9	45.1	45.8	46.5	46.5	47.2	48.9	50.3	51.9	51.9
Long-term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non-current liabs	5.1	2.5	2.4	1.5	0.9	0.9	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Total liabilities	42.0	29.0	60.6	59.2	56.8	56.8	61.3	49.6	50.2	50.9	50.9	51.7	53.4	54.8	56.4	56.4
Shareholder's Equity	348.0	341.8	388.9	371.0	450.4	450.4	424.1	406.4	388.5	370.9	370.9	357.8	345.7	334.4	324.2	324.2
Total liabilities & shareholders' equity	390.0	370.8	449.4	430.2	507.2	507.2	485.4	455.9	438.7	421.8	421.8	409.5	399.0	389.2	380.6	380.6
Cash Flow Statement																
Net income (before JV, discount ops), GAAP	(88.5)	(16.5)	(48.9)	(18.9)	(31.5)	(115.8)	(33.8)	(22.5)	(24.5)	(24.2)	(105.0)	(25.8)	(24.9)	(24.0)	(22.9)	(97.6)
Depreciation and amortization	21.9	5.5	5.6	5.6	5.6	22.4	4.3	4.3	4.3	4.3	17.2	2.2	2.2	2.2	2.2	8.6
Other	9.6	(0.3)	27.8	1.9	4.1	33.5	21.6	8.0	10.0	10.0	49.6	14.0	14.0	14.0	14.0	56.0
Changes in assets and liabilities:	(1.9)	(2.2)	4.1	1.3	13.8	17.1	(4.8)	(17.4)	0.3	0.1	(21.7)	(0.9)	(1.8)	(1.3)	(2.3)	(6.2)
Cash Flow from Operations	(58.8)	(13.5)	(11.3)	(10.0)	(8.0)	(42.9)	(12.7)	(27.6)	(9.8)	(9.8)	(60.0)	(10.5)	(10.6)	(9.1)	(9.1)	(39.3)
Capex	(6.8)	(0.0)	(0.6)	(0.7)	(0.0)	(1.4)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)
Other	(2.5)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow from Investments	(9.3)	(0.0)	(0.6)	(0.7)	(0.0)	(1.4)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)	(1.0)	(1.0)	(1.0)	(1.0)	(4.0)
Change in cash	(64.6)	(12.6)	85.7	(10.1)	87.4	150.4	(13.6)	(28.5)	(10.7)	(10.7)	(63.6)	(11.4)	(11.5)	(10.0)	(10.0)	(42.9)
Free cash flow	(65.6)	(13.6)	(11.9)	(10.7)	(8.0)	(44.3)	(13.7)	(28.6)	(10.8)	(10.8)	(64.0)	(11.5)	(11.6)	(10.1)	(10.1)	(43.3)

Source: Craig-Hallum

Required Disclosures

Ratings definitions:

Buy rated stocks generally have twelve month price targets that are more than 20% above the current price. **Hold** rated stocks generally have twelve month price targets near the current price. **Sell** rated stocks generally have no price target and we would sell the stock.

Ratings Distribution (5/6/2026)

	Percent	IB Percent
Buy	82%	24%
Hold	16%	7%
Sell	0%	0%

Information about valuation methods and risks can be found in the “Stock Opportunity” and “Risks” sections, respectively, of this report.

Company-Specific Disclosures

CHLM makes a market in this security NVTs.

CHLM expects to receive or intends to seek compensation for investment banking services from the subject company Navitas Semiconductor Corporation in the next three months.

Analyst Richard Shannon, Tyler Anderson receives no direct compensation in connection with the firm’s investment banking business.

Analyst Richard Shannon, Tyler Anderson may be eligible for bonus compensation based on the overall profitability of the firm, which takes into account revenues from all of the firm’s business, including investment banking.

CHLM has performed investment banking services for the subject company Navitas Semiconductor Corporation in the last 12 months.

Navitas Semiconductor Corporation Rating History as of 05/05/2026



Source: FactSet

Although the statements of fact in this report have been obtained from and are based upon recognized statistical services, issuer reports or communications, or other sources that Craig-Hallum believes to be reliable, we cannot guarantee their accuracy. All opinions and estimates included in this report constitute Craig-Hallum's judgment as of the date of this report and are subject to change without notice. Craig-Hallum may effect transactions as principal or agent in the securities mentioned herein. The securities discussed or recommended in this report may be unsuitable for investors depending on their specific investment objectives and financial position. This report is offered for

informational purposes only, and does not constitute an offer or solicitation to buy or sell any securities discussed herein in any jurisdiction where such would be prohibited. Additional information available upon request. Member SIPC.

Regulation AC Certification

I, Richard Shannon and Tyler Anderson, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject security and issuer. No part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views contained herein.